

ACTIVITY SOLUTION: CALCULATE TAKT TIME



ACTIVITY: CALCULATE THE TAKT TIME

A BUSINESS PROCESS HAS A TOTAL MAN-POWER OF 74 FULL TIME EMPLOYEES. FOR TODAY'S SHIFT, 58 OF THE TEAM MEMBERS WILL COME TO WORK. EACH TEAM MEMBER IS PRODUCTIVE FOR 7.5 HOURS PER DAY I.E. THE PERSON IS LOGGED IN READY TO TAKE CALLS FOR 7.5 HOURS EACH DAY. THE TEAM HAS PROJECTED THAT THEY WILL RECEIVE A TOTAL OF 4500 TRANSACTIONS TODAY. YOUR JOB IS TO USE THIS DATA AND CALCULATE THE TAKT TIME TO IDENTIFY HOW MUCH TIME THE BUSINESS HAS TO PROCESS EACH TRANSACTION.

ACTIVITY SOLUTION: CALCULATE THE TAKT TIME

A business process has a total man-power of 74 full time employees. For today's shift, 58 of his team members will come to work. Each team member is productive for 7.5 hours per day i.e. the person is logged in ready to take calls for 7.5 hours each day. The team has projected that they will receive a total of 4500 transactions today.

$$\text{Total Customer Demand} = T_d = 4500$$

$$\text{Total number of team members} = 58$$

$$\text{Net available time} = T_a = 7.5 \text{ hours} \times 58 = 435 \text{ hours} = 435 \text{ hours} \times 60 \text{ minutes} = 26,100 \text{ minutes}$$

$$\text{Takt Time} = T = \frac{T_a}{T_d} = \frac{26,100}{4500} = 5.8 \text{ minutes}$$

Inference: To process a customer demand of 4500 transactions, The process team members have to complete each transaction within **5.8 minutes**